five times.[6] In terms of security cooperation, China remains Bangladesh's primary defence partner, and it conducted unprecedented military exercises with India's neighbours, including the first joint drill in Nepal. The People's Liberation Army Navy has made forays into the Indian Ocean via submarine expeditions and counter-piracy missions, and Beijing is also focused on the development of commercial ports, like Sri Lanka's Hambantota, that may have dual-use purposes.[7] Finally, in terms of people-to-people relations, students from India's neighbouring countries are now mostly choosing to attend Chinese universities.[8]

The changing distribution of power between India and China, both at the global and the regional levels, presents two contrasting challenges. First, in face of a more capable and assertive China, how can India respond in order to narrow the growing capability gap without bandwagoning with Beijing? And beyond balancing and openly defying China, what other, softer strategies can New Delhi pursue to compensate for the rising asymmetry? Under Prime Minister Modi, India has tried to place itself as a "leading power" and the predominant player in South Asia and the Indian Ocean region.[9] At the same time, seeking to walk a fine hedging line, Prime Minister Modi has also emphasised that the "Indo-Pacific" construct is an "inclusive" architecture rather than a containment strategy targeting China.[10]

Second, in face of its own rising capabilities *within* the region, India faces another dilemma: how to counter China and, at the same time, reassure its neighbouring countries, especially smaller ones who are concerned about India's formidable size and preponderant geographic, demographic, economic, and military role in South Asia. Most of India's smaller neighbours are unwilling to join in any balancing behaviour against China. For the Maldives, Sri Lanka, or Nepal, for example, the rise of China in the region has offered unprecedented possibilities to modernise the